

Georgia Tech Real Estate Club

What is a Market?

Kraft*Heinz*



Where buyers and sellers come together to trade goods, services, or assets.

What is an Exchange?

A formal, regulated marketplace with standardized rules, public pricing, and guaranteed settlement.

ORACLE

BlackRock

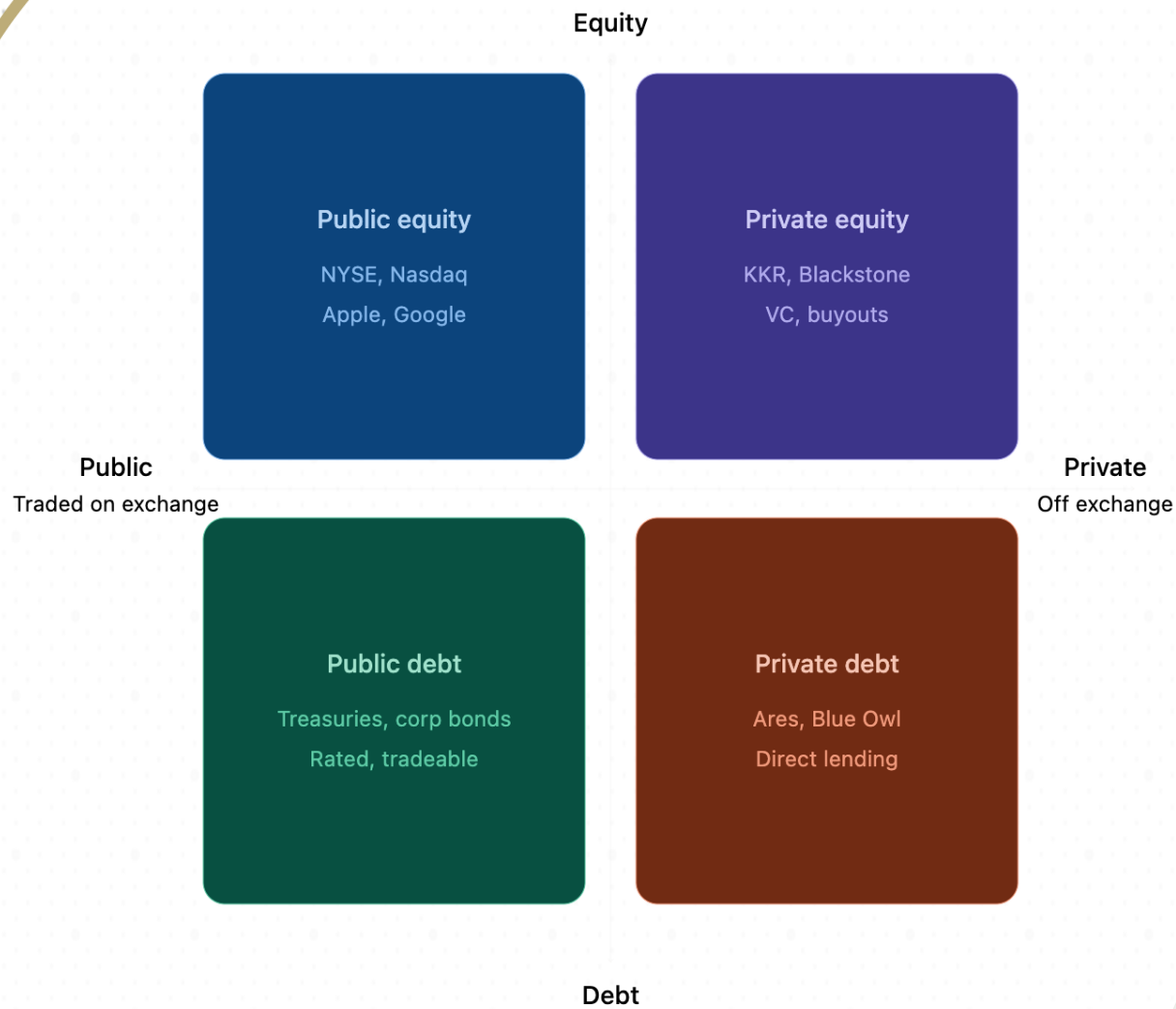


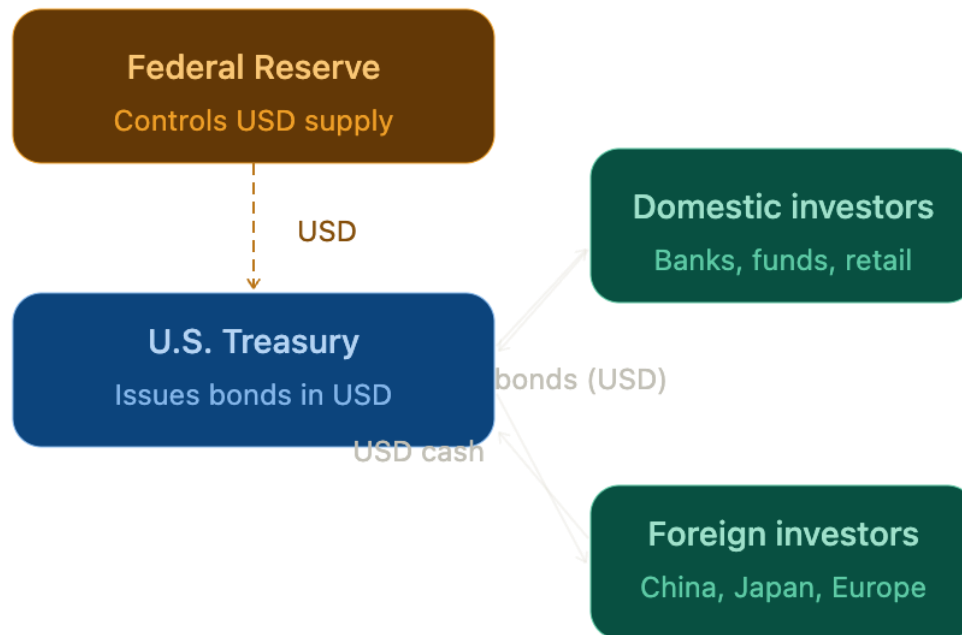
BERKSHIRE
HATHAWAY



What is a Capital Market?

Where the supply of money from investors meets the demand for funds from businesses and governments.





Inflation



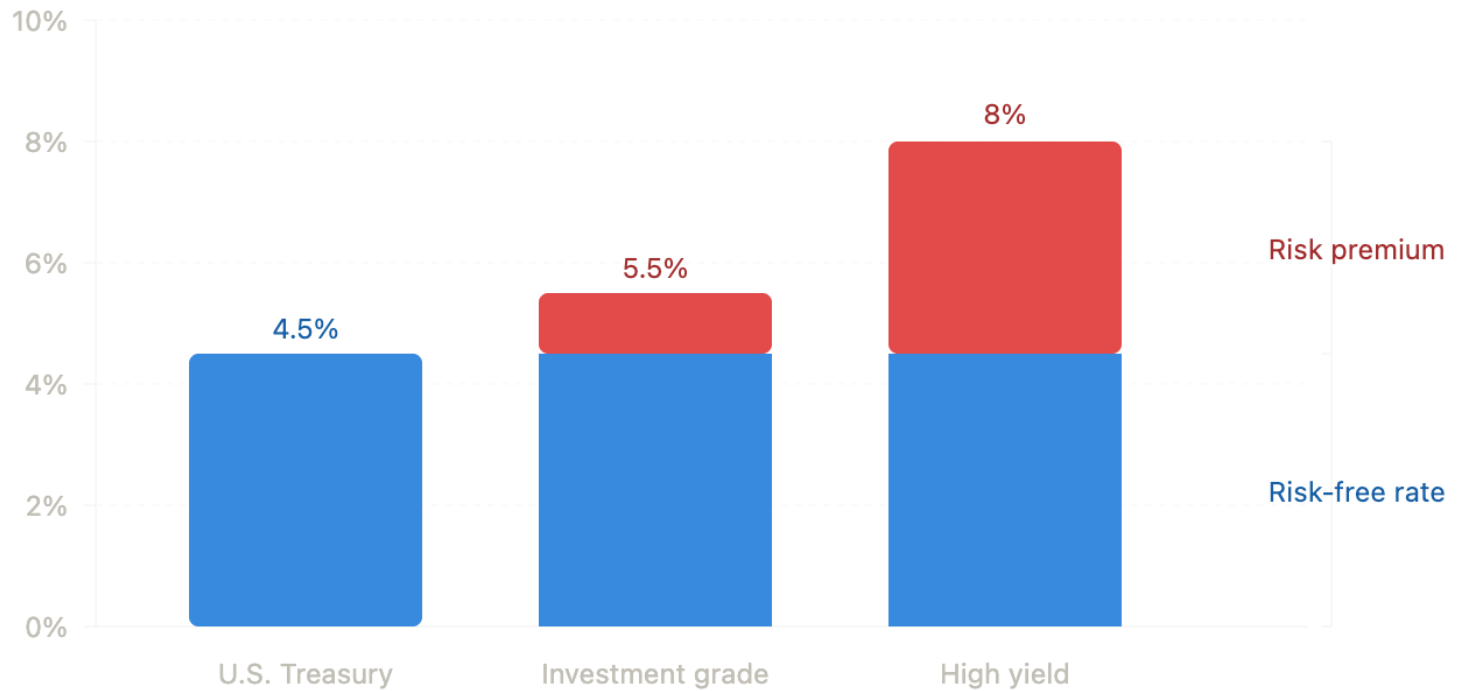
Germany experiencing **hyperinflation** to pay back **sovereign debt** issued in **bonds**

Lowest Inflation Risk = *Risk Free Rate*

Because the US is the lowest risk issuer of debt, since everyone holds dollars, they have the lowest risk, and thus have the lowest rate of return.



Public Debt – U.S. Treasuries



Risk and Return

SOFR = Secured
Overnight Financing Rate

.01% = 1bp (basis point)



Risk Free Rate (SOFR)	362 bps
Risk Premium	250 bps

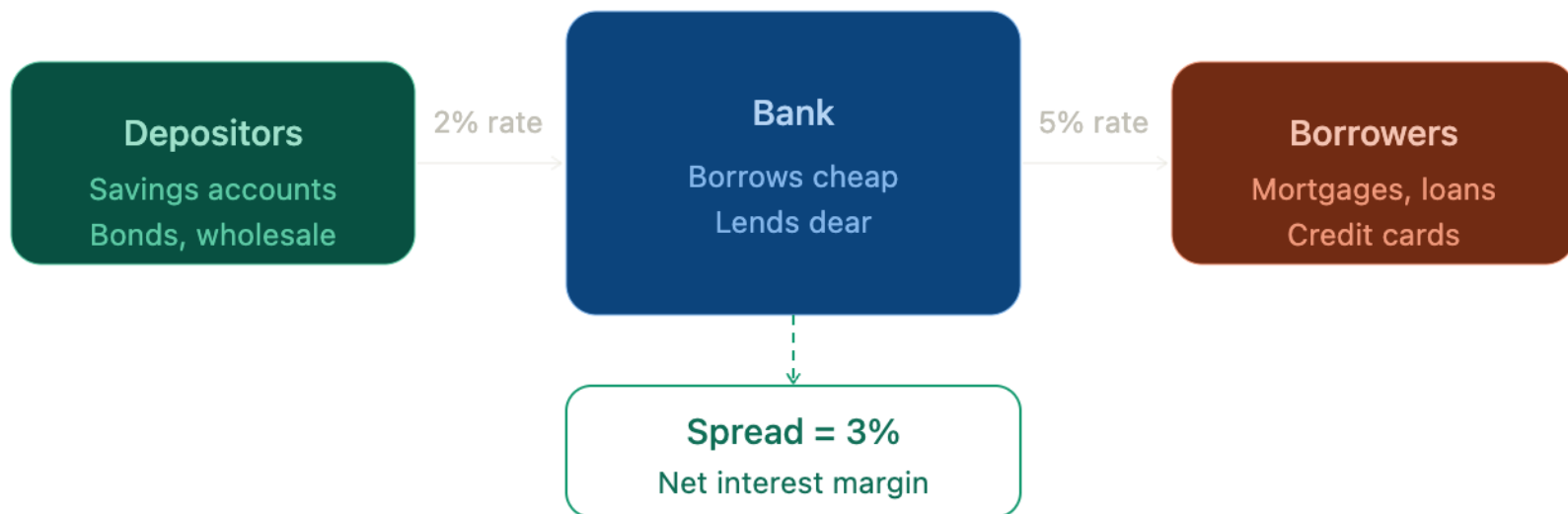


Risk Free Rate	362 bps
Risk Premium	50 bps

Assets with a higher potential return generally incur more risk

REITs – Public Equities





Fannie and Freddie



- Fannie Mae and Freddie Mac buy American homeowners mortgages and pool them together into **Mortgage Backed Securities (MBSs)**
- Currently under **Government Conservatorship**

Definitions

- **Market:** any mechanism where buyers and sellers come together to exchange goods, services, or assets.
- **Exchange:** a formal, regulated marketplace with standardized rules, public pricing, and guaranteed settlement.
- **Capital market:** a marketplace where businesses raise money by selling equity or debt to investors.
- **Public equity:** ownership shares in a company that are listed and traded on a public exchange.
- **Private equity:** ownership stakes in companies that are not listed on a public exchange, typically held by funds or institutional investors.
- **Public debt:** bonds issued by governments or corporations that are rated, tradeable, and listed on public markets.
- **Private debt:** loans or credit extended directly between a lender and borrower, negotiated off-exchange with no public market for the instrument.

Definitions

- **Bond:** a loan made by an investor to a borrower, where the borrower promises to pay back the principal plus interest over a set period.
- **MBS:** a bond backed by a pool of mortgages, where investors receive payments derived from homeowners paying their monthly mortgage.
- **REIT:** a company that owns income-producing real estate, is required to distribute at least 90% of its taxable income to shareholders as dividends, and trades like a stock.
- **Fannie Mae:** a government-sponsored enterprise that buys conforming mortgages from lenders, packages them into mortgage-backed securities, and sells them to investors, freeing up capital for more lending.
- **Freddie Mac:** does essentially the same thing as Fannie Mae; the two exist as separate entities to promote competition and stability in the mortgage market